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CHINESE UNDERWORLD

VIOLENCE, POLITICAL CONNECTIONS AND

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This is a summary of the investigations published on Il Fatto Quotidiano in Italy and on InfoLibre in Spain.

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On December 11, 2017, the Italian Police wiretapped a phone call between Zhang Naizhong's and Lin Guochun. Zhang Naizhong is accused of being the boss of the Chinese Mafia in Italy, by the public prosecutor in Florence. The criminal organization can control a large part of the European road transport market for goods made in China through violence and threats. According to the Anti-Mafia police, Lin Guochun is the number two in the organization.

Lin Guochun called Zhang Naizhong from China to tell him that "the secretary of an important leader of Beijing is visiting Rome". "He is escorted by police", Lin added and, "he must participate in a meeting with some Italian leaders". Lin asked Zhang to take the secretary to visit the Capitol. The recorded conversation will be played during the trial that will begin on Wednesday February 16, in Prato (Tuscany). 79 Chinese people are accused of several offences, including the crime of "mafia association".

The prosecutor argues that, hiding behind the international corporate brand "Anda", a criminal organization with great economic power managed to take the lead of the Chinese communities of Italy, France, Spain and Germany through violence and shootings.



Naizhong was recorded saying in the dialect of Zhejiang and later translated to Italian.

This conversation was tapped on April 23, 2013, four years before the visit of the "leader from Beijing".

Zhang was talking with Xu Bingxin, also known as Aliu. The investigators believe that Aliu is a "leading exponent of the association [...] at the center of a whirlwind money lending activity mainly conducted in China".

According to the Public Prosecutor's Office in Florence, Aliu is the number three in the organization. He never left China, but Zhang keeps him updated on all the business in Europe. During their conversation, Zhang tells him how he managed to solve a business issue in France and that he is about to offer a dinner to 20 Chinese government officials.

The documents presented at trial will not allow us to understand anything more about the identities of the Chinese officials to whom the alleged boss of the Chinese mafia would have offered a dinner.

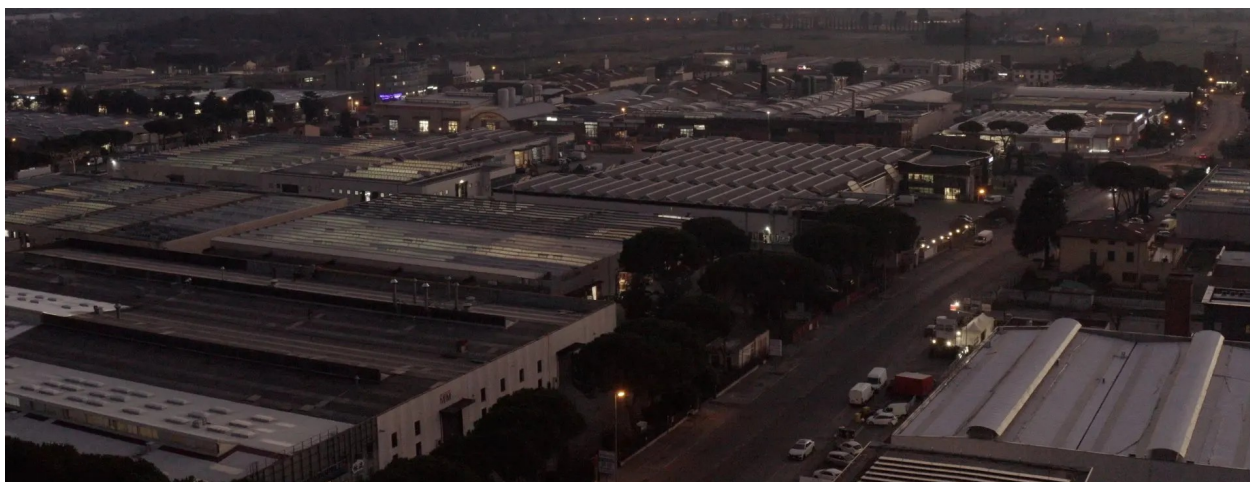
The story of the visit of the "leader from Beijing" is more evident.

On that day, December 11, 2017, a Chinese State delegation visited Rome. The delegation included the Vice-Premier, Ma Kai; the ambassador, Li Ruiyu; the Deputy Minister of Development and Reform, Xiaotao Wang; the Deputy Minister of Industry and IT, Guobin Xin; the Deputy Minister of Commerce, Bingnan Wand; the Undersecretary of Foreign Affairs, Huilai Li.

It was an important State visit to meet then Italian Prime Minister Paolo Gentiloni.

A month after the interception, the arrests for Zhang and the other defendants began. No investigations have ever been carried out by the Prosecutor's Office on the identity of the Chinese State executive who Zhang Naizhon met in Rome. Contacted through his lawyer, the man, who will respond to the accusation of being the leader of the largest Chinese mafia organisation in Italy, refused to make any statements until the end of the upcoming trial.

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Zona Industriale Macrolotto in Prato, Italy (foto by Daniele Zendroni)

Since January 2018, when he was arrested and then released waiting for the trial, Zhang has left all the positions in the companies he owned. On the other hand, some of his family members and closest collaborators have started new companies in Italy and in the rest of Europe. His son, Zhang Di - also on trial for the crime of mafia association - started two companies in Rome just three months after being released from prison.

There is Decho Immobiliare, a real estate company. And there is Elt Express, that is specialized in "national and international freight transports" with operational headquarters based in the same industrial warehouses in Prato where Anda was registered until 2018. In 2020, Elt Express had revenues for 1.5 million euros, ending the year with a slight profit. But the truck business also continued in Germany, where Pan Zuoxin is still operating.

According to the police Pan Zuoxin is "closely trusted by Zhang" and he has been one of his "hidden partners" in France and Italy. Pan, who was a shareholder of Europa Anda Srl, the Italian parent company, since 2019 owns the 40 percent of ELG GmbH, a company active in "transport and logistics" based in Neuss, said the German commercial register. Right in Neuss, in 2007, Pan took part in a shooting reported in the investigation of the Prosecutor's Office of Florence: 22 gunshots to convince Weng Deshun, a competing Chinese entrepreneur, to leave his market share to Zhang and his partners.

THE 'TOYS CASE' IN SPAIN

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Fuenlabrada, Spain (foto by Carlos Pina, InfoLibre)

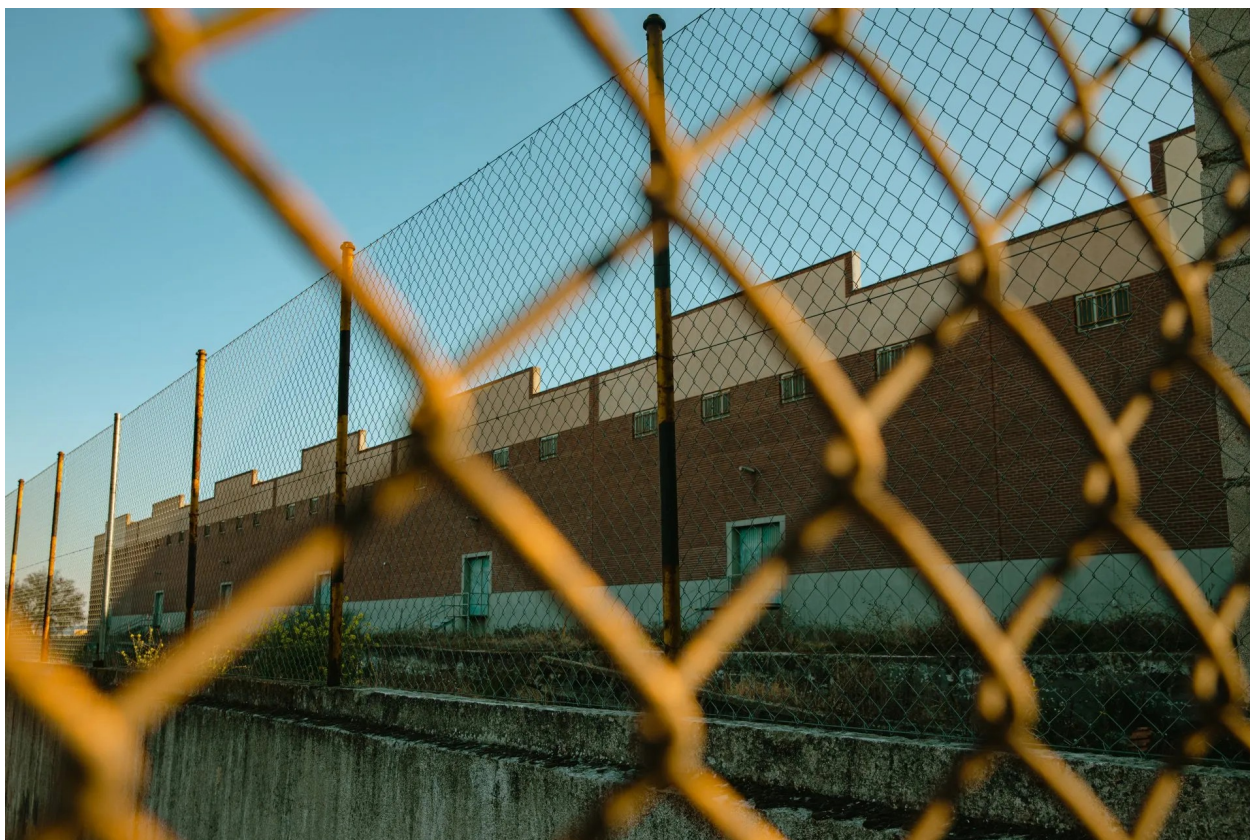
The Spanish Anda subsidiary is among the companies that have recently been indicted after an investigation by the Spanish Anti-Corruption Prosecutor's Office. Anda Transportes y Logistica SL was used by the Chinese criminal group to import goods, especially toys, into Europe with the aim, the Spanish Prosecutor says, to "organize fraud against the Hacienda Publica (the Spanish Tax Agency) and the European Union; to smuggle and to launder profits obtained from the aforementioned crimes through continuous falsification of invoices and other commercial documents related to customs clearance and transport and tax declarations".

The group used "two techniques" in their illegal activity: they declared a value of the goods imported from China that was much lower than the real value - sometimes not even 10% - and they imported far more goods than they declared. In many cases, they also pretended that the final recipient of the goods was in another EU country, in order to avoid paying VAT. To this end, they established companies in Portugal and the Netherlands, and in Italy, Poland, Germany and Hungary. The Public Prosecutor's Office

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And not only goods from China, but, according to the Italian judicial authorities, a shipment of 22,58 kilos of marijuana was shipped to the headquarter of the group's parent company in Italy. Zhang Naizhong's organisation was responsible for transporting the drugs, which were then delivered to the 'final recipient', not identified in the indictment.

In its investigation, the Spanish Anti-Corruption Prosecutor's Office didn't find any evidence of the possible agreement between the group led in Spain by Julio Seseña and in Italy by Zhang Naizhong, which is why the administrators of the Spanish company are not being prosecuted in the Audiencia Nacional.



The former Anda Transportes y Logística warehouse in Fuenlabrada (foto by Carlo Pina)

At present, Anda Transportes y Logística does not appear to be active in Spain. The latest official budget sheet was submitted in 2017, when the company declared a turnover of 1,14 million euros and an average workforce of 41 employees. When Zhang Naizhong was arrested in Italy in 2018, the subsidiary he controlled in Spain failed to comply with the obligation to file annual official budgets. This week, in the warehouse he once owned in



often consulted by the Head of the Chinese Mafia in Italy before making important decisions. The police believes that he is Zhang Naizhong's "main undercover partner" in the Anda company. "He currently lives in China, but Zhang Naizhong keeps him constantly informed about the developments and the issues related to transport, asking his opinion before making important decisions. In addition to that, he is involved in usurious money lending activities in China, in close cooperation with Zhang Naizhong " the summary referring to Zhongyi Huang reads.

In one of the conversations recorded by the police, they refer to another investigation by the Spanish anti-corruption prosecutor's office, the so-called Emperor's case. During this operation, 94 people were arrested, mainly in Spain but also in other European countries. Among them was Wang Wei, arrested in Hamburg on October 16, 2012, who collaborated with the Italian Mafia group from Germany. As in the Toys case, the Emperor's plan involved importing goods from China at a much lower value than they were worth, causing massive tax fraud. "In a conversation held on October,30,2012, the two made clear references to the Emperor's investigation carried out in Spain against Chinese organized crime, highlighting the fear that it had caused in the higher ranks of the clan," the Italian police said.

During this conversation, Zhongyi Huang showed his concern because they were engaged in the same activities as the failed plot in Spain and stressed that they must be "even more cautious, especially when it comes to using the phone".

"What happened in Spain was a big hassle," he confessed.

After that, the conversation had a more optimistic tone. Zhang Naizhong told his partner that although there had been "a decline in the Rome market" in recent times, Anda was "stronger with each passing day, so much so that everyone calls it 'the head of the dragon'". That is the most important company in the business of road transport of goods from China.

After a decade-long investigation, prosecutors Juan José Rosa and José Grinda formulated their indictment in the Emperador case on January 2, 2022, asking the Audiencia Nacional to open a trial against 107 people. Among them the alleged leader of the criminal organisation, Gao Ping, for whom the prosecution is seeking 47 years in prison and a fine of 77 million euros. He is accused of various offences against the tax authorities, among



The Italian investigation revealed, as we have seen, that Zhang Naizhong's organisation was involved in the State visit to Rome by the Chinese government. There is no record that Gao Ping's group had similar relationships, but prosecutors say that he maintained contacts in the Chinese embassy. Specifically, they point out that Yongping Xia - one of Gao Ping's lieutenants - used "different people with influence to obtain documents such as visas, passports, etc. There is evidence of a close relationship with an official named Dong Yuzhong, an advisor at the Chinese embassy in Spain".

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